Economic Policy and the Federal Budget

POLS 2311: Government of the United States

Agenda

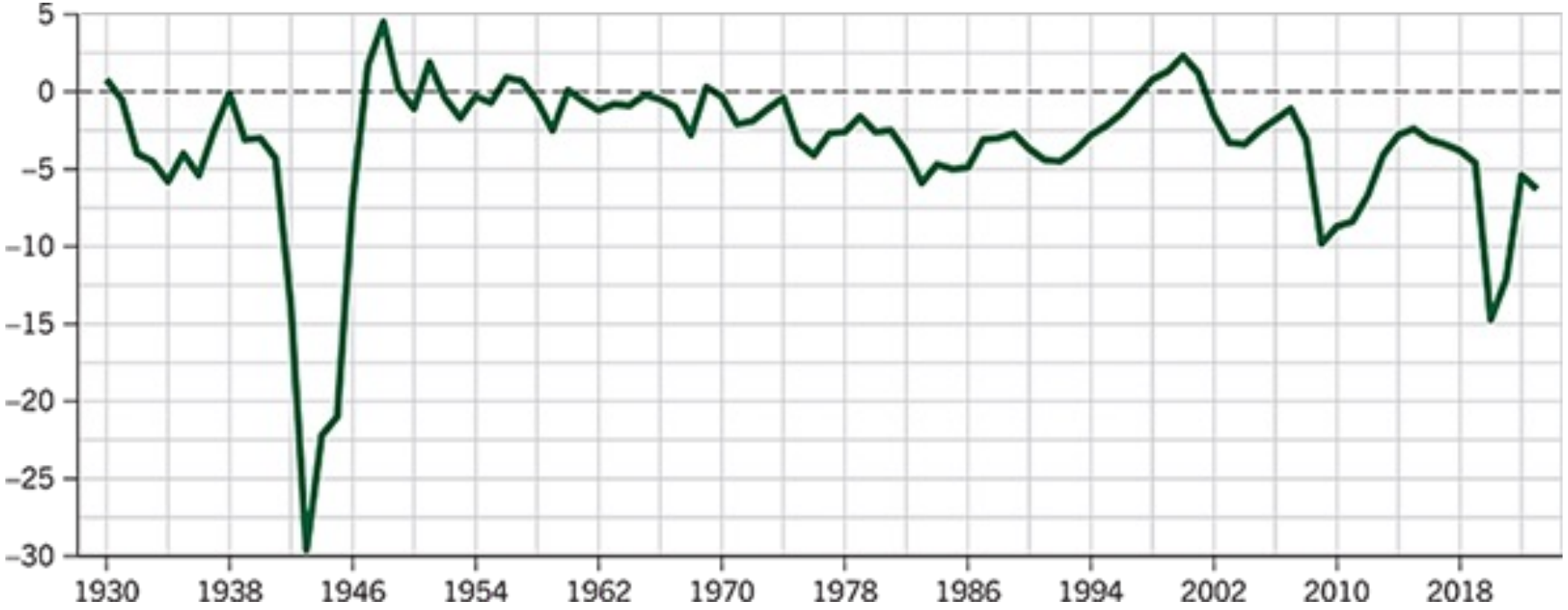
- Economic Policy Basics
- Four Theories of Economic Policy
- The Major Players: Congress and the Fed
- The Federal Budget Process
- Contemporary Debates

ECONOMIC POLICY BASICS

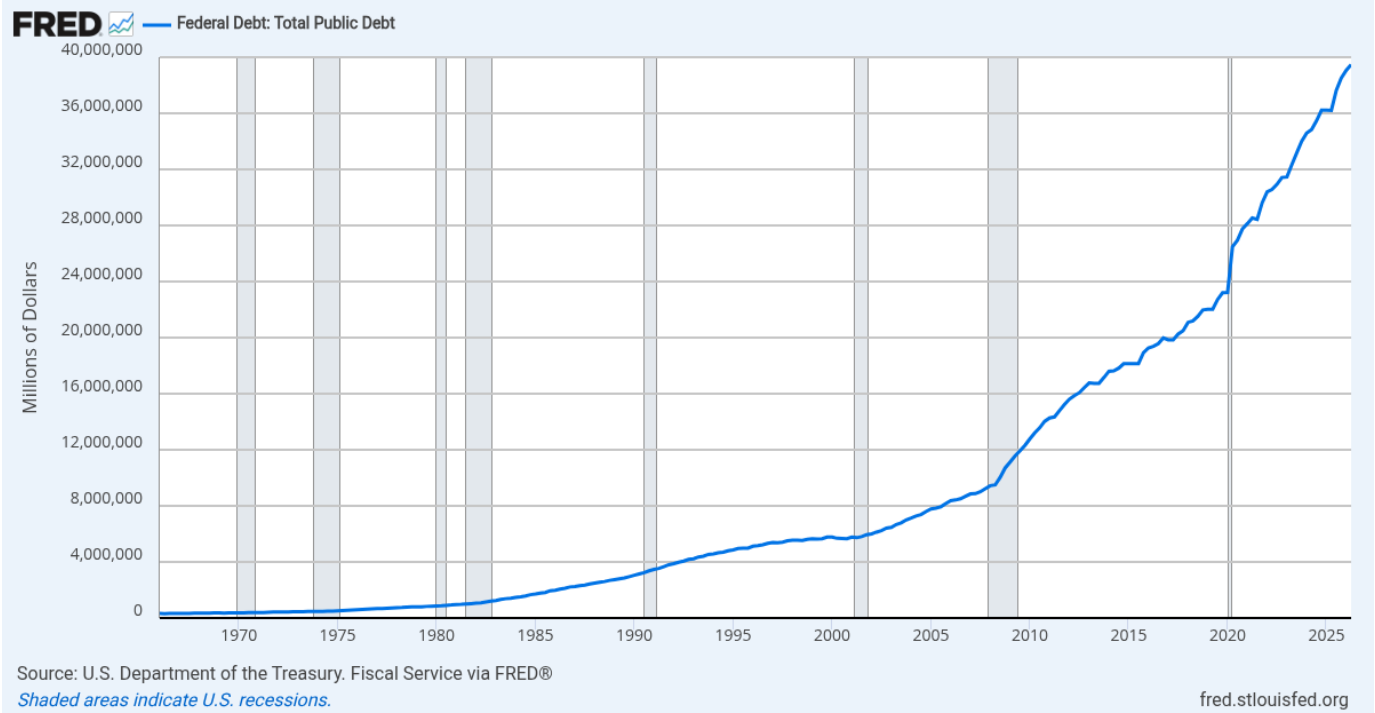
Definitions

- **Deficit**: spending exceeds revenue in a given year
- **National debt**: the accumulation of deficits over time
- **Gross Domestic Product (GDP)**: all goods and services produced in an economy during a given year
- **Inflation**: the increase in the prices of goods and services over time
- **Unemployment rate**: the number of unemployed people expressed as a percentage of the total labor force

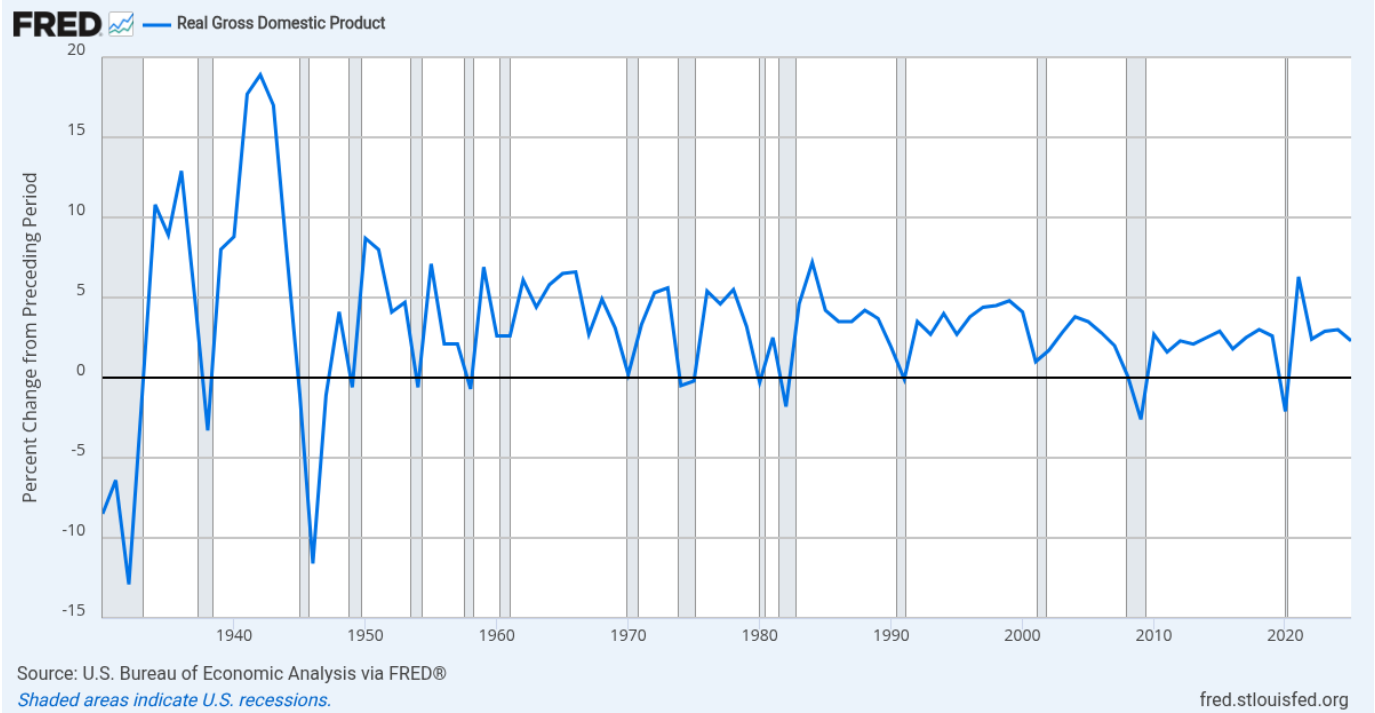
Federal Budget Deficit or Surplus, FY 1930–2023



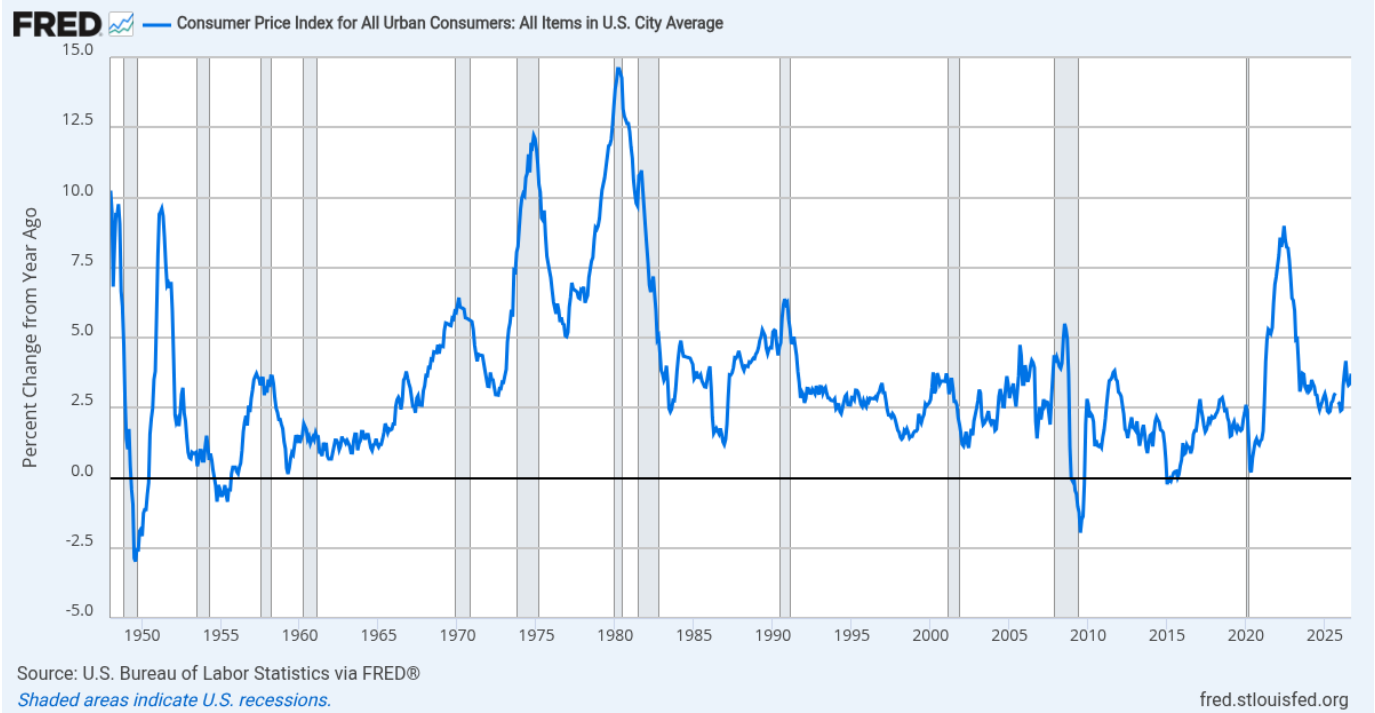
National Debt



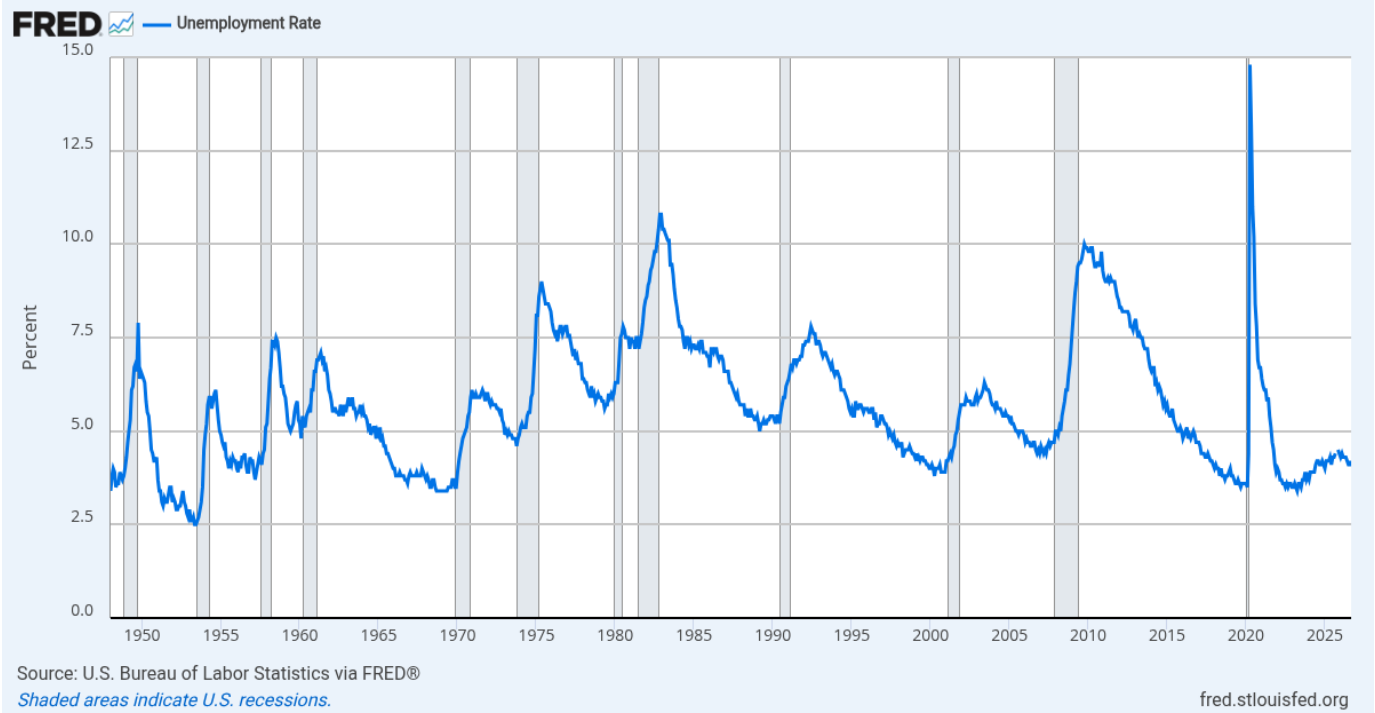
Gross Domestic Product



Inflation


FRED
Consumer Price Index for All Urban Consumers: All Items in U.S. City Average
Percent Change from Year Ago
15.0
12.5
10.0
7.5
5.0
2.5
0.0
-2.5
-5.0
1950
1955
1960
1965
1970
1975
1980
1985
1990
1995
2000
2005
2010
2015
2020
2025
Source: U.S. Bureau of Labor Statistics via FRED®
Shaded areas indicate U.S. recessions.
fred.stlouisfed.org

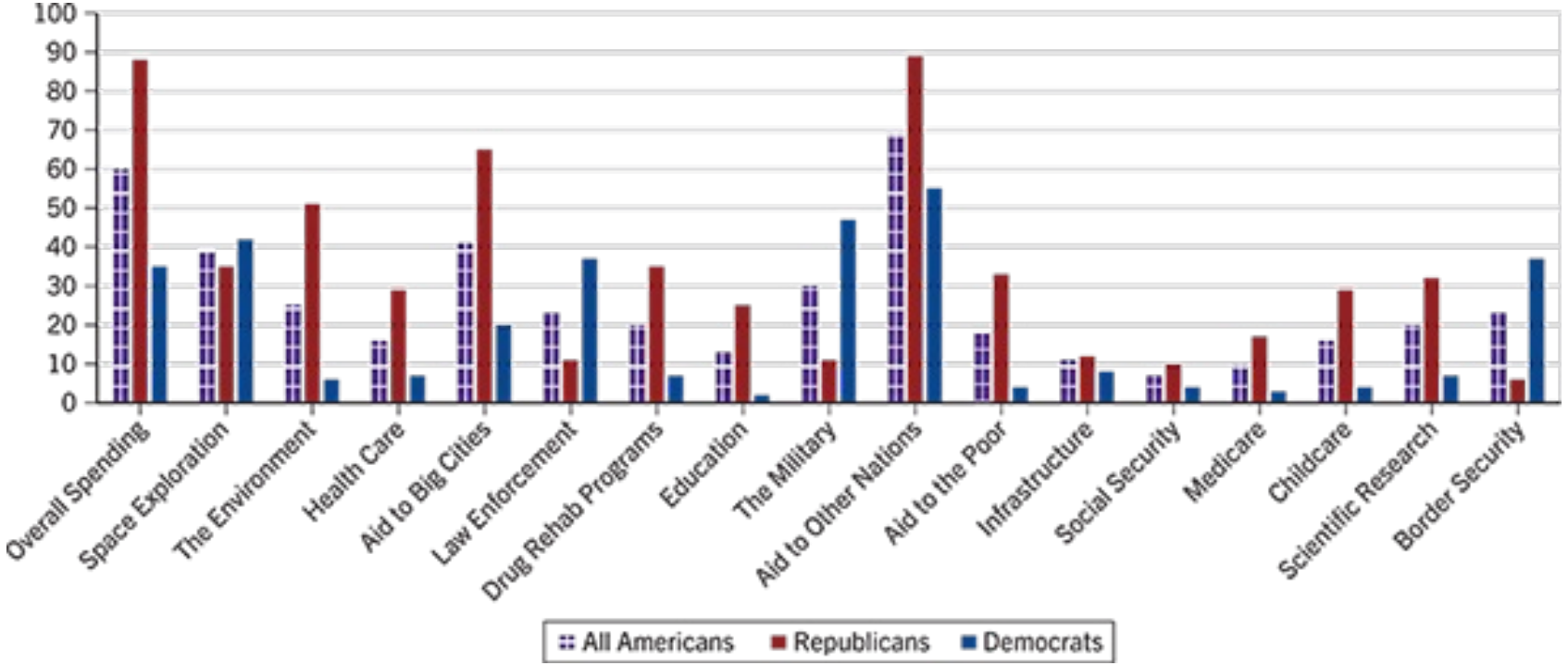
Unemployment Rate



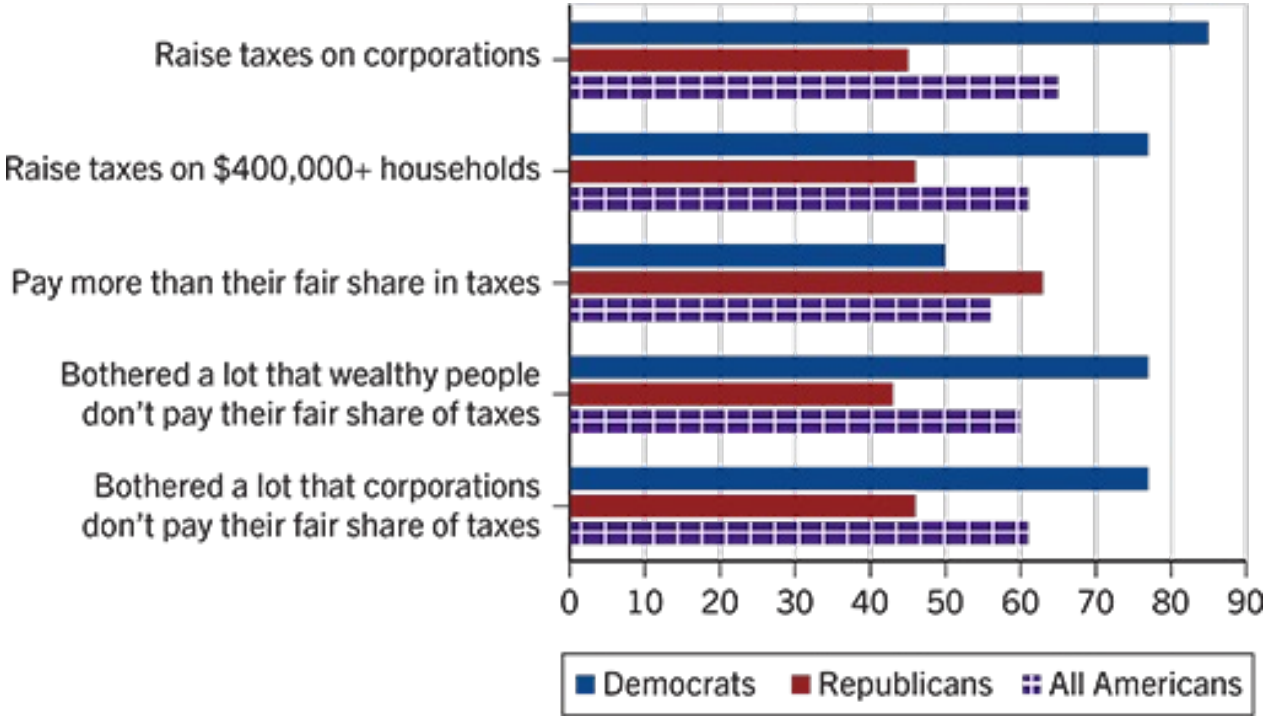
The Economy and Elections

- Politicians prioritize quick economic wins, especially before elections
- Government benefits often increase in election years
- Fixing one problem (e.g., unemployment) can worsen another (e.g., inflation)
- Presidents can lose elections due to economic downturns largely outside their control
- No perfect strategy exists for balancing inflation, taxes, and spending

Belief the Government Spends Too Much on Various Policies



Beliefs about the Tax System

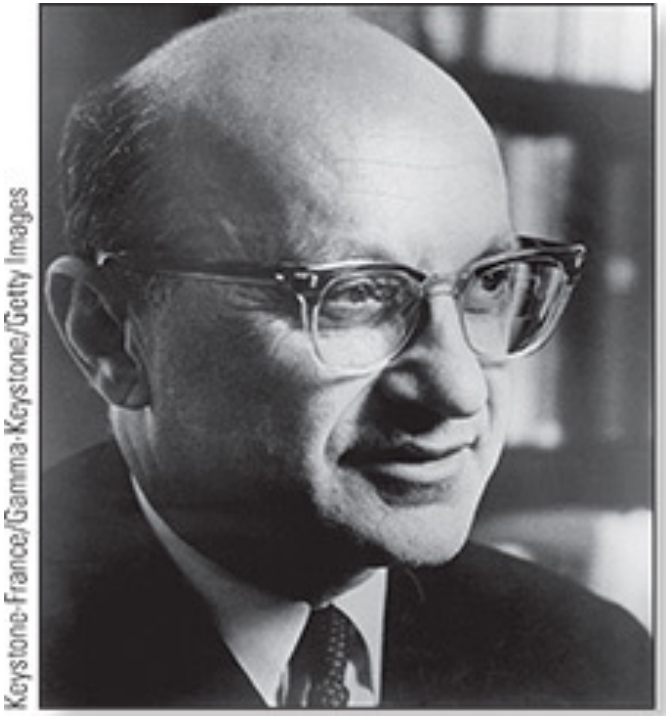


FOUR THEORIES OF ECONOMIC POLICY

Monetarism

Monetarism

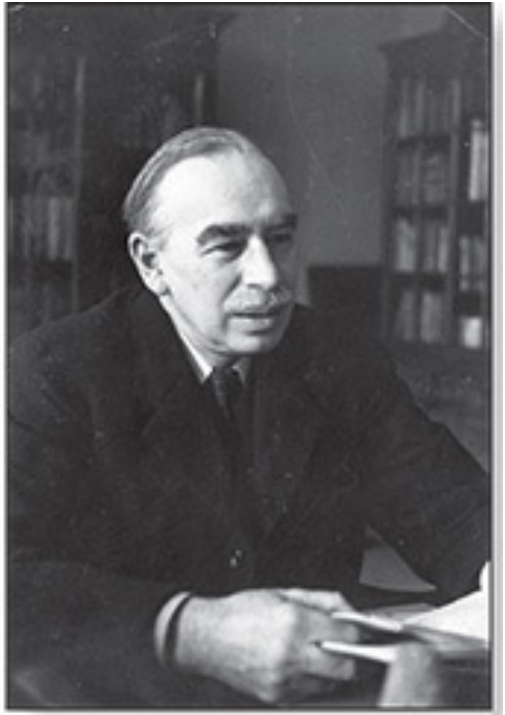
- Economic stability is best achieved through control of the money supply



Keynesianism

Keynesianism

- Government should increase spending during a recession and cut spending during inflation to stabilize the economy

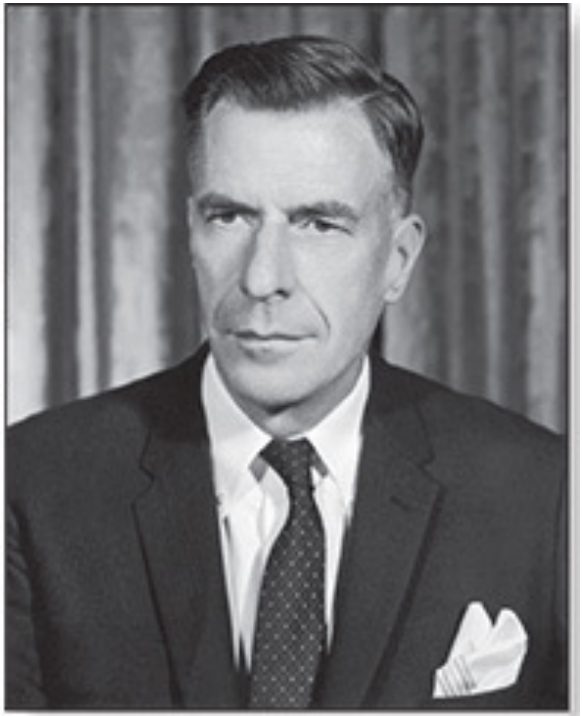


Tim Gidal/Picture Post/Getty Images

Planning

Planning

- The economy can be improved through government plans, such as wage and price controls



Hulton Archive/Archive Photos/Getty Images

Supply-Side Economics

Supply-Side Economics

- The economy is stimulated through lower taxes and fewer regulations
- *Laffer Curve*



Walter Bennett/The LIFE Picture Collection/Shutterstock.com

THE MAJOR PLAYERS

The Federal Reserve System: Monetary Policy

- **Monetary policy**: *Manipulating the **interest rate** and **money supply** to influence the operation of the economy*
- **The Federal Reserve System**: *Federal Reserve Act* of 1913
  - **Federal Reserve Board**: Seven governors, appointed by the president with Senate consent, serve non-renewable 14-year terms — removable only "for cause"
  - **Fed Chairman**: Chair of the board
  - 12 regional Federal Reserve Banks

The Federal Reserve System: Monetary Policy

- Twin goals of economic growth and low *inflation*
- Buys and sells securities (open-market operations)
- Regulates bank reserve requirements
- Sets the interest rate charged to banks

Why Fed Independence?

- Congress feared direct presidential control over monetary policy would produce a permanent inflationary bias timed to election cycles
- Ahead of the 1972 election, Nixon pressured Fed Chair Arthur Burns: *“The Fed must loosen — it must risk inflation”*
  - Burns complied — contributing to the inflation of the 1970s

Trump v. Cook (2026): Testing Fed Independence

- President Trump attempted to remove Fed Governor Lisa Cook “for cause,” citing mortgage fraud allegations
- The Court held 5-4 that Cook was entitled to notice and a hearing
- The Court declined to extend the **Unitary Executive Theory** to the Fed — citing its “unique historical status”
- Left the Fed’s independence in a provisional, not settled, state

Congress: Fiscal Policy

- **Fiscal policy**: *The deliberate use of the government's **taxing** and **spending** powers to stimulate or restrain the economy*
- Government spending
- Taxes
- Some oversight of the Federal Reserve
- Foreign trade
- Must approve all taxes and almost all expenditures — no wage or price controls without its consent

THE FEDERAL BUDGET PROCESS

BUDGETING IS, AT ITS CORE, THE FUNDAMENTAL DECISION ABOUT THE USE OF SCARE RESOURCES FROM THE PEOPLE

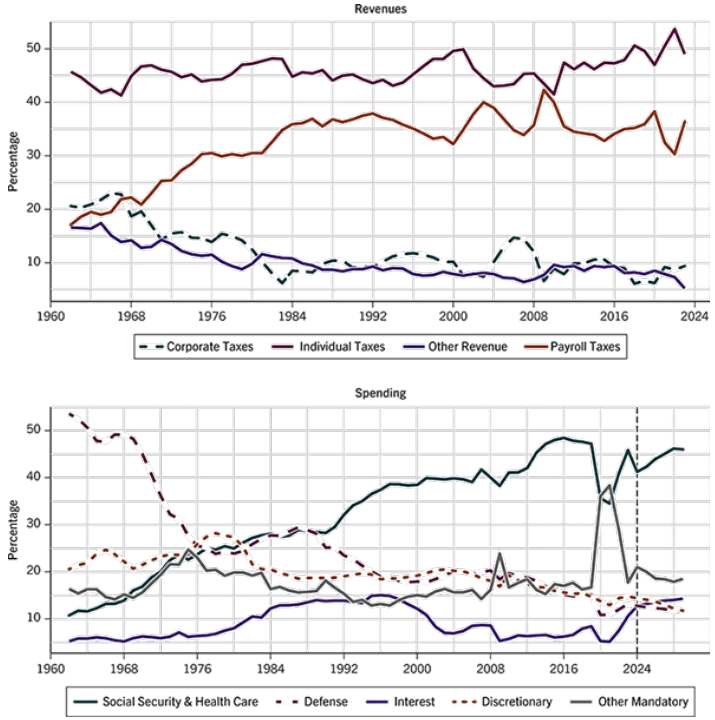
Congress's Power of the Purse

- Article I: Congress has the power to "lay and collect Taxes, Duties, Imposts and Excises"
- "No Money shall be drawn from the Treasury, but in Consequence of Appropriations made by law"
- No single piece of legislation creates "the budget" — a mix of permanent law, multi-year law, and annual appropriations

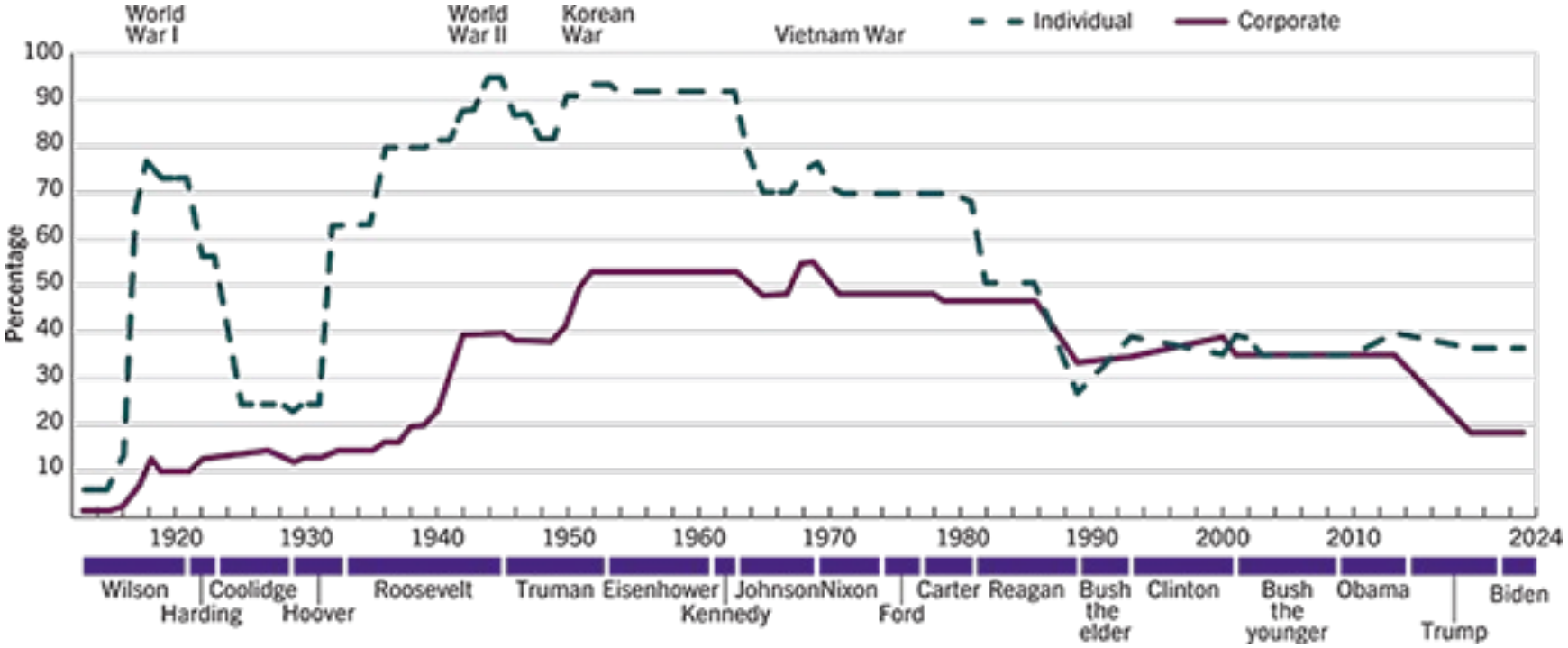
Mandatory vs. Discretionary Spending

- **Mandatory spending** (~61% of the budget): the authorizing law itself sets the funding — Social Security, Medicare, Medicaid, SNAP
- **Discretionary spending** (~26%): Congress sets funding annually through the appropriations process — defense, agency budgets
- The remainder: interest on the debt
- Mandatory spending is why cutting the federal budget is harder than it looks — most of it isn't up for annual debate

Government Revenues and Expenditures by Type



Federal Taxes on Income, Top Percentage Rates, 1913–2023



The Budget Process

February	Presidential budget is sent to Congress on the first Monday of the month
March 15	Standing committees send their budget estimates to the House and Senate budget committees
April 1	Budget committees report budget resolutions to House and Senate
April 15	Congress adopts a concurrent resolution setting targets for revenues, budget authorities, and outlays
May-July	House completes action on appropriations bills
July-September	Senate acts on appropriations bills; conference committees resolve differences; appropriations are enacted
September	Reconciliation legislation enacted if needed
October 1	Fiscal year begins; continuing resolutions are passed if all appropriations have not been passed

The President's Budget Request

- Opens the annual cycle — nominally due the first Monday in February
- Developed through OMB and federal agencies, beginning the prior spring
- Signals the administration's fiscal priorities across a ten-year window

The Congressional Budget Resolution

- A **concurrent resolution** — not signed by the president, and cannot be filibustered
- Sets spending ceilings and a revenue floor across 19 budget “functions”
- Due April 15 — but often passes late, or not at all
- Excludes Social Security’s trust fund

Appropriations and Shutdowns

- 12 annual appropriations bills fund discretionary programs, often combined into omnibus packages
- Appropriations have not been finished by October 1 in 42 of the last 45 years
- Missing the deadline requires a **continuing resolution (CR)** — funding at current levels for a set period
- Failing to pass a CR produces a **government shutdown**

Notable Government Shutdowns

- **2025**: dispute over extending Affordable Care Act health insurance subsidies — 43 days, the longest in U.S. history
- **2018–19**: border-wall funding dispute — 35 days
- **2013**: Affordable Care Act funding dispute — 16 days
- **1995–96**: Clinton-era shutdown — 21 days

Budget Reconciliation

- An optional, expedited process triggered by a “reconciliation directive” in the budget resolution
- Filibuster-proof: capped at 20 hours of debate, passes with a simple majority
- Constrained by the **Byrd Rule** — strips provisions deemed “extraneous” to spending/tax law unless 60 senators vote to waive it
- Cannot touch Social Security, and cannot increase the deficit beyond the resolution’s window unless offset

Reconciliation in Practice

- Originally conceived as a **deficit-reduction tool** — 16 deficit-reducing bills enacted, including the Inflation Reduction Act (2022)
- Increasingly used to *increase* the deficit: the Bush-era tax cuts (×3), the 2017 Trump tax cuts, 2021 COVID relief
- Congress now most often adopts a budget resolution specifically to unlock reconciliation — and skips one entirely when no reconciliation bill is planned

The Debt Limit

- A fixed statutory cap on Treasury borrowing — separate from the spending and revenue laws that create the government's obligations
- When the limit binds, it conflicts directly with other legal payment obligations (contractors, employees, Medicare, veterans, interest on the debt)

The Debt Limit

- Congress has always raised or suspended the limit rather than default — but the process can be acrimonious
- Even the *threat* of default can dampen the broader economy

CONTEMPORARY DEBATES

Globalization

Supporters' View

- Free trade lowers prices, raises incomes, and boosts global economic growth

Critics' Concerns

- Free trade lowers U.S. wages, exploits foreign workers, and erodes local cultures

Income Inequality

- The extent to which income is unevenly distributed throughout society
- Key causes: education gaps, job shifts from manufacturing to services, declining union membership
- Major policy proposals: universal pre-K, tax reform, the CHIPS Act